

FEDERAL MARITIME COMMISSION

DOCKET NO. 14-06

**SANTA FE DISCOUNT CRUISE PARKING, INC. d/b/a EZ
CRUISE PARKING; LIGHTHOUSE PARKING, INC.; and
SYLVIA ROBLEDO d/b/a 81ST DOLPHIN PARKING**

v.

**THE BOARD OF TRUSTEES OF THE GALVESTON
WHARVES and THE GALVESTON PORT FACILITIES
CORPORATION**

**RESPONDENTS THE GALVESTON WHARVES AND THE GALVESTON PORT
FACILITIES CORPORATION'S REPLY TO COMPLAINANTS' EXCEPTION TO AND
APPEAL OF INITIAL DECISION ON REMAND OF NOVEMBER 16, 2018**

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RESPONSE AND ARGUMENT

The Board of Trustees of the Galveston Wharves and The Galveston Port Facilities Corporation (collectively “Respondents”), by and through the undersigned, pursuant to Federal Maritime Commission (“FMC”) Rule 227, 46 C.F.R. § 502.227, file their Response to Complainants’ Exception to and Appeal of Initial Decision on Remand of November 16, 2018, and would show the Commission as follows:

I. PRELIMINARY STATEMENT

Santa Fe Discount Cruise Parking, Inc., d/b/a EZ Cruise Parking, Lighthouse Parking, Inc. and Sylvia Robledo d/b/a 81st Dolphin Parking (collectively “Complainants”) excepted to and appealed Judge Guthridge’s Initial Decision on Remand issued on November 16, 2018, (hereinafter “IDR”). Under Rule 227, Complainants had the right to “file a memorandum excepting to any conclusions, findings, or statements contained in such decision, and a brief in support of such memorandum.” 46 C.F.R. § 502.227(a)(1). The Rule further states that, “Such exceptions and brief shall constitute one document, shall indicate with particularity alleged errors, shall indicate transcript page and exhibit number when referring to the record, and shall be served on all parties pursuant to subpart H of this part.” *Id.*

As such, Complainants have a responsibility to do more than complain to the Commission that Judge Guthridge was “erroneous” or “incorrect.” They must provide the Commission—and also Respondents—with direct references to all particular findings of fact and conclusions of law to which they except, and provide substantive legal and factual argument as to why the Commission should disregard the well-reasoned and carefully considered decision by Judge Guthridge.

Complainants' only claim remaining prior to the issuance of the IDR was based on 46 U.S.C. § 41106(2) which states:

A marine terminal operator may not . . . (2) give any undue or unreasonable preference or advantage or impose any undue or unreasonable prejudice or disadvantage with respect to any person.

46 U.S.C. § 41106(2). To prove this claim, Complainants had to meet the four prongs under *Ceres Marine Terminal, Inc. v. Maryland Port Administration*, 27 S.R.R. 1251 (FMC 1997):

In order to establish an allegation of an unreasonable preference or prejudice, it must be shown that (1) the two parties are similarly situated or in a competitive relationship, (2) the parties were accorded different treatment, (3) the unequal treatment is not justified by differences in transportation factors, and (4) the resulting prejudice or disadvantage is the proximate cause of the injury. The complainant has the burden of proving that it was subjected to different treatment and was injured as a result and the respondent has the burden of justifying the difference in treatment based on legitimate transportation factors.

Ceres, 27 S.R.R. at 1270–71.

In particular, Judge (now Justice) Kavanaugh specifically vacated and remanded this case for a finding as to whether Respondents could justify the differential treatment of Complainants' shuttle buses by legitimate transportation factors. See *Santa Fe Disc. Cruise Parking, Inc. v. FMC*, 889 F.3d 795, 797 (D.C. Cir. 2018). On remand, Judge Guthridge correctly found that Complainants failed to meet their burden and Respondents were justified in the differential treatment of Complainants' shuttle busses based on legitimate transportation factors. Judge Guthridge was also correct in his findings regarding the statute of limitations and Complaints' lack of entitlement to relief. In submitting their exceptions and appeal, Complainants fail to set forth the factual basis for their exceptions and disagreements with Judge Guthridge. Complainants offered no exceptions to 80 of Judge Guthridge's 84 Findings of Fact. Complainants present nothing to lead the Commission to set aside the IDR, in whole or in part.

II. FACTUAL BACKGROUND

On October 27, 2003, Respondent Board of Trustees of the Galveston Wharves (“Port” or “Port of Galveston”) issued Tariff Circular No. 6, Naming Rules and Regulations Governing Dockage, Shed Hire, and Other Services and Charges Applying at the Facilities of the Galveston Wharves. ALJFF14. The 2003 Tariff Circular No. 6 defines “commercial passenger vehicle” as:

[A] motor vehicle while it is used, or offered (orally or in a writing or sign) to be used, to transport one or more people, on land, either:

- (A) in exchange for a fare, charge, or other thing of value (paid, demanded, or expected for the transportation service, in whole or in part, directly or indirectly, by the person transported or by another person, or otherwise); or
- (B) in connection with the operations of a commercial business entity, regardless of whether a fare, charge, or other thing of value is paid, demanded or expected for the transportation service.

It shall be a presumption that a motor vehicle bearing the name, trade name, common name, emblem, trademark or other identification of a commercial business entity and being used to transport a passenger is a commercial passenger vehicle.

ALJFF 15.

The definition of commercial passenger vehicle was amended on December 17, 2007, by changing the opening clause to read “a motor vehicle not otherwise defined in this Tariff while it is used, or offered (orally or in a writing or sign) to be used, to transport one or more people, on land...,” ALJFF 16, and has not changed since then. ALJFF 17. Complainants operate commercial passenger vehicles. ALJFF 18.

Tariff Circular No. 6 defines a “ground transportation company” as:

GROUND TRANSPORTATION COMPANY means any Person (other than the Galveston Wharves or any person or entity under contract to provide transportation services for the Galveston Wharves) owning or operating the following types of vehicles as defined in this section: commercial passenger vehicle, bus, bus service, charter bus, courtesy vehicle, shuttle, limousine, taxi or taxicab service.

ALJFF 19. This definition has not changed. Complainants are ground transportation companies.

ALJFF 20-21. The 2003 Tariff also defined “off-port parking user.”

OFF-PORT PARKING USER means a commercial business entity which provides or arranges for one or more commercial passenger vehicles, buses or shuttles, however owned or operated, to pick up or drop off passengers within a terminal complex of the Galveston Wharves in connection with the operations of a business of the user involving the parking of motor vehicles of any type at a facility located outside of the boundaries of property owned, operated or controlled by the Galveston Wharves.

ALJFF 22.

The only reference to “Off-Port Parking Users” in the 2003 Tariff was in the definition of “Courtesy Vehicles.” In this definition, Off-Port Parking Users were expressly distinguished from lodging, air transportation, special events, medical care, and other industries. ALJFF 18A; Resp. App. Tab 1 at p. 000019.¹

In 2006, the Port amended this definition by inserting the phrase “courtesy vehicles” between “commercial passenger vehicles” and “buses or shuttles,” ALJFF 23, but has not changed it since then. ALJFF 24. The definition of “Courtesy Vehicles” continued to distinguish Off-Port Parking Users from lodging and other industries. Resp. App. Tab 2 at p. 000093. Complainants are Off-Port Parking Users. ALJFF 25.

The 2003 Tariff Circular No. 6 required ground transportation companies to obtain a Port Use Permit by paying an initial licensing fee of \$250.00 and an annual renewal fee of \$50.00 to conduct activities on or in connection with the Cruise Terminal. ALJFF 28. It imposed an access fee on vehicles for each entry onto Port property:

¹ Judge Guthridge determined that the definition of “Off-Port Parking Users” could be construed to include hotels; but determined that the Port did not intend to require the hotels to use the flat rate, and that charging them access fees under the per-trip rate did not discriminate unreasonably against Complainants or in favor of hotels that provide parking to cruise passengers. ALJFF 26; IDR at p. 24-25. Respondents respectfully disagree with ALJFF 26. When all provisions of Tariff Item 111, including the definition of “courtesy vehicle,” are construed together, hotels are part of the lodging industry, which is expressly distinguished from “Off-Port Parking Users.” Regardless, the end result is the same.

Note C

In addition to the annual Port Use Permit fee, ground transportation companies . . . accessing the Texas Cruise Ship Terminal on Galveston Island®, or the Texas Cruise Ship Terminal at Pier 27 (Cruise Ship Terminal Complex), shall be subject to the following decal or access fees for each vehicle that shall have such access:

Type of Vehicle	Decal and access charge
Bus, Charter Bus, Commercial Passenger Vehicle, Courtesy Vehicle, Shuttle or Bus and Shuttle or Bus [sic]	\$10.00 per Access/Trip
Limousines	\$10.00 per decal per vehicle, annually
Taxi and Taxicab	\$7.50 per decal per vehicle, annually

ALJFF 29. The Port did not order collection of the access fees to begin until September 1, 2004, when the Board instructed port staff to fully implement the Tariff and begin invoicing port users for the access fee effective January 1, 2005. ALJFF 30. On May 20, 2005, the Port sent notice to port users and included the first invoices for fees users had incurred since January 1, 2005. ALJFF 31.

Complainants did not pay the fee. ALJFF 32-34. On October 15, 2005, Complainant EZ Cruise wrote a letter to the Port claiming that the \$10.00 fee for each trip was “too high and would greatly affect our ability to provide a quality service to the thousands of customers who come to Galveston each year to experience a cruise” ALJFF 36. EZ Cruise asked the Port not to charge Complainants on the basis of \$10.00 per trip, but to charge them a flat monthly fee that would permit them unlimited access. EZ Cruise proposed:

[A] flat rate of \$1,000.00 per month for all shuttles used by EZ Cruise Parking, beginning January 2005. The flat fee is much easier for a start-up company, such as ours to budget and reflect expenses for reports at our monthly shareholder meetings. Billing 6 or 7 months at a time is extremely burdensome to a small, start-up company.

ALJFF 37.

Complainants and the Port entered into negotiations to resolve the access fees owed by Complainants. ALJFF 35. By the middle of 2006, EZ Cruise had not paid the Port for access fees charged from January 2005 to June 2006, Lighthouse had not paid for access from January 2006, when it began operations, to June 2006, and Dolphin had not paid for access from July 2005, when it began operations, to June 2006. ALJFF 32-35. As part of the negotiations, on June 14, 2006, EZ Cruise proposed a payment of \$20,000.00 to satisfy all outstanding port access fees for EZ Cruise and for Galveston Limousine Service, Inc. (not a party in this proceeding) for trips on which Galveston Limousine Service, Inc. transported passengers for EZ Cruise for the period January 2005 to March 2006. ALJFF 38. EZ Cruise rejected the Port's proposal of a \$2,500.00 flat monthly fee for unlimited access and offered a proposed monthly fee of \$1,200.00. ALJFF 39.

After continued negotiations, the Port and Complainants eventually agreed to reduce Complainants' future access fees by adding Note D to Tariff Circular No. 6. Note D provided that in lieu of the \$10.00 per trip access fee, parking lot operators would pay a flat access fee of \$8.00 per month for each parking space in Complainants' lots. ALJFF 42-44. This payment would permit unlimited access to the cruise terminal for Complainants' shuttles, meaning that Complainants would not pay increased fees for sending partially loaded shuttles to the cruise terminal instead of full shuttles. ALJFF 42. On August 28, 2006, the Port amended Tariff Circular No. 6 to revise the access fee to be paid by Off-Port Parking Users.

Note D: Those Off-Port Parking Users, as defined herein, in operation and accessing the Texas Cruise Ship Terminal on Galveston Island®, or the Texas Cruise Ship Terminal at Pier 27, collectively the Cruise Ship Terminal Complex, as of August 15, 2006 shall, in lieu of the Access/Trip fee, be subject to a monthly Access Fee equal to the amount of \$8.00 per parking space located in the Off-Port Parking

User's parking facility, with number of billable parking spaces to be confirmed periodically by the Galveston Wharves. The \$8.00 Access Fee will be effective on and after August 15, 2006.

ALJFF 44. The August 28, 2006, amendment did not change the access fees imposed on commercial passenger vehicles by Note C. ALJFF 45. As noted above, the August 28, 2006, amendment continued to distinguish Off-Port Parking Users from the lodging and other industries. Resp. App. Tab 2 at p. 000093.

Complainants and the Port also agreed to apply the \$8.00 flat rate retroactively to January 2005 to recalculate access fees that Complainants had incurred at the per trip rate, but had not paid. ALJFF 46. The Port had invoiced EZ Cruise a total of \$87,930.00 for access to the port between January 2005 and June 2006. ALJFF 47. As a result of the application of the \$8.00 flat rate, EZ Cruise paid \$35,680.00 for access between January 2005 and June 2006, saving \$52,250.00. ALJFF 47. The Port had invoiced Lighthouse a total of \$14,230.00 for access to the port between January 2005 and June 2006. As a result of the application of the flat rate, Lighthouse paid \$9,120.00 for access between January 2005 and June 2006, saving \$5,110.00. ALJFF 48. The Port had invoiced Dolphin a total of \$25,430.00 for access to the port between January 2005 and June 2006. ALJFF 49. As a result of the application of the flat rate, Dolphin paid \$11,520.00 for access between January 2005 and June 2006, saving \$13,910.00. ALJFF 49.

The Port amended some provisions of Tariff Circular No. 6 in 2007, but did not change the \$8.00 flat rate until shortly before Complainants commenced this proceeding. ALJFF 50-54. From 2006 until the date Complainants initiated this proceeding, the Port calculated access fees for Complainants at the \$8.00 flat rate while it continued to calculate access fees for all other

commercial passenger vehicles at the per trip rate as set forth in Note C.² ALJFF 63. At the request of Complainants and when appropriate, the Port adjusted the number of parking spaces used to calculate Complainants' access fees resulting in a decrease or increase in the monthly fee. ALJFF 55-58. Complainants did not object to using the \$8.00 flat rate to calculate their access fees until shortly before they commenced this proceeding. ALJFF 59.

In the action that precipitated this proceeding, on May 19, 2014, the Port again amended Tariff Circular No. 6. The amended tariff, effective July 1, 2014, adjusted the decal and per trip access fees imposed on ground transportation companies by Note C of the Tariff. ALJFF 64-65, 67. The Port also significantly increased the flat rate charged to Off-Port Parking Users to \$28.88 per parking space used to calculate Complainants' fees for unlimited access to the Cruise Terminal.

Those Off-Port Parking Users, as defined herein, in operation and accessing the Texas Cruise Ship Terminal on Galveston Island®, or the Texas Cruise Ship Terminal at Pier 27, collectively the Cruise Ship Terminal Complex, as of August 15, 2006 shall, in lieu of the Access/Trip fee, be subject to a monthly Access Fee equal to the amount of \$28.88 per parking space located in the Off-Port Parking User's parking facility, with number of billable parking spaces to be confirmed periodically by the Galveston Wharves. The Access Fee will be effective on and after July 1, 2014.

ALJFF 66.

On June 16, 2014, Complainants initiated this proceeding by filing their Complaint alleging that Respondents violated the Shipping Act. ALJFF 68. Complainants also filed a complaint in the United States District Court for the Southern District of Texas, seeking declaratory and injunctive relief pursuant to the Federal Declaratory Judgment Act, 28 U.S.C. § 2201, and a preliminary injunction pursuant to the Shipping Act that would bar the Port from

² Since 2006, the various amendments to the Tariff have continued to distinguish Off-Port Parking Users from lodging and other industries. *See* Resp. Tab 1 at p. 000019; Resp. Tab 2 at p. 000093; Resp. Tab 5 at p.000324 ; Resp. Tab 6 at p. 000395-397.

enforcing the amended tariff. *See* 46 U.S.C. § 41306(a) (“After filing a complaint with the Federal Maritime Commission under section 41301 of this Title, the complainant may bring a civil action in a District Court of the United States to enjoin conduct in violation of this part.”). On August 5, 2014, the District Court entered an agreed order permitting Complainants to deposit accruing monthly access fees in excess of \$8.00 per parking space per month into the court registry. *Santa Fe Discount Cruise Parking, Inc. v. The Board of Trustees of the Galveston Wharves*, No. 3:14-cv-00206 (S.D. Tex. Aug. 5, 2014) (Agreed Interim Order). ALJFF 69-70.

On September 22, 2014, the Port again amended the Tariff. ALJFF 71. Fees for ground transportation companies other than Off-Port Parking Users were not changed from the May 22, 2014, Tariff. ALJFF 72. The amended Tariff reverted to the rate of \$8.00 per parking space per month for unlimited access for Off-Port Parking Users prior to October 1, 2014, and rescinded the provision that determined the monthly access fee for Off-Port Parking Users as a multiple of the number of parking spaces for access on or after October 1, 2014.

Note D: Prior to October 1, 2014, those Off-Port Parking Users, as defined herein, in operation and accessing the Texas Cruise Ship Terminal on Galveston Island®, or the Texas Cruise Ship Terminal at Pier 27, collectively the Cruise Ship Terminal Complex, shall, in lieu of the Access/Trip fee, be subject to a monthly Access Fee equal to the amount of \$8.00 per parking space located in the Off-Port Parking User’s parking facility, with number of billable parking spaces to be confirmed periodically by the Galveston Wharves. In addition, Off-Port Parking Users shall pay a decal fee of \$15.00 per decal per vehicle annually. This Access Fee and decal fee will be effective until October 1, 2014.

Beginning on October 1, 2014, all Off-Port Parking Users, as defined herein, shall be governed by the Provision of Note C above.

ALJFF 73. The Port assessed Complainants’ access fees at the \$8.00 flat rate for July—September 2014. ALJFF 74. After October 1, 2014, the Port returned to calculating

Complainants' access fees using the per trip method as it had prior to the August 28, 2006, amendment. ALJFF 75-79.

Between August 28, 2006, and October 1, 2014, Note D of Tariff Circular No. 6 did not provide a mechanism to determine "billable parking spaces" for hotels providing parking to cruise passengers with transportation to and from the cruise terminal. ALJFF 80. Throughout the period from 2005 through July 31, 2014, the Port charged hotels the \$10.00 per trip access fee for hotel shuttles accessing the cruise terminal carrying embarking or debarking cruise passengers who parked their cars at the hotels during their cruises. The Port then increased the per trip access fee to \$20.00 as established by the May 19, 2014, amendment to Tariff Circular No. 6. ALJFF 81. Cruise passengers occupy a very small percentage of the parking spaces at hotels. ALJFF 82.

III. PROCEDURAL BACKGROUND

Complainants filed their Original Complaint on or about June 24, 2014. A portion of the Original Complaint centered on the Port's May 19, 2014, amendment to the Tariff to raise the rate charged Complainants from \$8 to \$28.88 a space. Complainants were never required to actually pay this rate. The fees for all other users were raised as well at that time, with the base fee raised from \$10 a trip to \$20 a trip. On September 22, 2014, the Port rescinded the May 19, 2014, amendment and placed Complainants under the same fee schedule as other ground transportation companies accessing the cruise terminal.³

On or about October 24, 2014, Complainants filed their Amended Verified Complaint.

³ Contrary to Complainants' unsupported assertion, the Port did not admit the "validity of Complainants' allegations."

On or about November 21, 2014, Judge Guthridge dismissed all of Complainants' claims except for 46 U.S.C. § 41106(2). Complainants did not appeal that ruling and the Commission issued a Notice Not to Review same on December 23, 2014.

Evidence and briefs were presented as scheduled. On December 4, 2015, Judge Guthridge issued his Initial Decision dismissing Complainants' remaining claim with prejudice.

On January 11, 2015, Complainants filed their Exceptions to and Appeal of the December 4, 2015 Initial Decision. Respondents filed their Reply to Complainants' Exception to and Appeal of Initial Decision of December 4, 2015. The Commission issued its opinion on January 13, 2017, affirming Judge Guthridge's opinion in all respects except for the first *Ceres* element. The Commission denied Complainant's § 41106(2) claims against Respondent and dismissed them with prejudice.

Claimants appealed the Commission's ruling to the D.C. Circuit Court of Appeals. A panel of three judges heard arguments of counsel and Judge (now Justice) Kavanaugh vacated and remanded the Commission's decision to determine if the Port had met its burden to show "that the differential treatment of Petitioners' shuttle buses is justified by legitimate transportation factors." *See Santa Fe Disc. Cruise Parking, Inc. v. FMC*, 889 F.3d 795, 797 (D.C. Cir. 2018).

On August 9, 2018, the Commission remanded the case to the ALJ to "address all remaining issues, including whether the Port's different treatment was justified by valid transportation factors; whether the Shipping Act's statute of limitations bars any of Complainants' claims; and whether Complainants are entitled to relief. *See* Commission's Order Remanding Proceeding (FMC 2018).

On November 16, 2018, Judge Guthridge issued his Initial Decision on Remand correctly finding that Respondents justified the differential treatment of Complainants shuttle buses based on legitimate transportation factors. Judge Guthridge also correctly determined that the Statute of Limitations applied to Complainants entitlement to relief. Finally, Judge Guthridge correctly determined that the Coble Act⁴ applies and that Respondents are entitled to recover their Attorney's fees from Complainants.

Complainants again filed their Exceptions and Appeal of Initial Decision on Remand of November 16, 2018. For the reasons outlined in this Reply, the Commission should accept and affirm Judge Guthridge's findings and dismiss Complainants' claims with prejudice.

IV. ARGUMENT

A. RESPONSE TO COMPLAINANTS' SUMMARY OF THE EXCEPTIONS AND APPEAL.

Complainants have submitted 32 specific exceptions to selected portions of Judge Guthridge's Initial Decision on Remand. Respondents address each such exception in the order presented.

1. Complainants take exception to the following statement on page 3 of the IDR:

The Port continued to impose access fees on other commercial passenger vehicles accessing the cruise terminal at the per trip rate.

Response: Complainants' grounds for exception are irrelevant as Judge Guthridge deferred to Justice Kavanaugh's previous finding that Complainants proved by a preponderance of the evidence that they were treated differently than other commercial passenger vehicles. Further, Complainants' claims of "selective enforcement" are unfounded, were previously discussed and dismissed by the ALJ in the Initial Decision, and were not required to be addressed in the Initial Decision on Remand.

⁴ The Howard Coble Coast Guard and Maritime Transportation Act of 2014, Pub. L. No. 113-281, 128 Stat. 3022 (Dec. 18, 2014).

2. Complainants take exception to the following statement on page 3 of the IDR:

The June 16, 2014, FMC Complaint alleges that the Port violated the Shipping Act, 46 U.S.C. §§ 40101-41309, by charging Complainants at the \$8.00 flat rate while continuing to charge access fees for other commercial passenger vehicles at the per trip rate, thereby allegedly giving an undue or unreasonable preference or advantage to the other users and/or imposing an undue or unreasonable prejudice or disadvantage with respect to Complainants in violation of sections 41102(c), 41106(2), and 41106(3) of the Act.

Response: Complainants' exception is irrelevant. Complainants have already acknowledged that many of their claims were summarily dismissed, yet they continue to pursue them. In their Exceptions and Appeal to the IDR, they fully acknowledged that the only remaining issue to be determined is whether the differential treatment afforded to Complainants' shuttle buses were justified by legitimate transportation factors. Contrary to Complainants' circular arguments, Judge Guthridge determined that the difference in treatment between Complainants and the other ground transportation companies were justified based on legitimate transportation factors.

3. Complainants take exception to the following statement on page 8 of the IDR:

... Complainants have not established *Ceres I* Element 3 when compared to either hotels or taxicabs; that is, Complainants have not proved that the unequal treatment is not justified by differences in transportation factors.

Response: The ALJ correctly interpreted *Maier v. PANYNJ* to require Complainants to establish the unreasonableness of Respondents' differential treatment based on legitimate transportation factors. Complainants cannot show any unreasonableness in Respondents' actions because they were reasonable.

4. Complainants take exception to the following statement on page 9 of the IDR:

Complainants, the hotels, and taxicabs operate commercial passenger vehicles.

Response: Complainants seek to introduce added confusion into a case that Justice Kavanaugh eloquently stated was simple. Contrary to Complainants' argument, the remaining claim centers on whether Respondents were justified in their different treatment of Complainants under the tariff based on legitimate transportation factors. For the reasons found by Judge Guthridge, Respondents were justified. Further, limousines were addressed by Judge Guthridge in his analysis of taxicabs. IDR at pp. 44 – 46. The record is abundantly clear that as with taxicabs, the low volume and frequency of

limousines accessing the cruise terminal were central in the differential treatment as to Complainants' shuttle buses. Resp. Corr. Brief at pp. 29 – 30.

5. Complainants take exception to the following statement on page 9 of the IDR:

Complainants, the hotels, and taxicabs are ground transportation companies.

Response: Again, Complainants seek to introduce added confusion into a case that Justice Kavanaugh eloquently stated was simple, and the same responsive arguments apply. To state them again, Complainants' remaining claim centers on whether Respondents were justified in their different treatment of Complainants under the tariff based on legitimate transportation factors. For the reasons found by Judge Guthridge, Respondents were justified. Further, limousines were addressed by Judge Guthridge in his analysis of taxicabs. IDR at pp. 44 – 46. The record is abundantly clear that as with taxicabs, the low volume and frequency of limousines accessing the cruise terminal were central in the differential treatment as to Complainants' shuttle buses. Resp. Corr. Brief at pp. 29 – 30.

6. Complainants take exception to the following statement on page 13 of the IDR:

On June 16, 2014, Complainants initiated this proceeding by filing a complaint alleging that the Port violated the Shipping Act when it calculated Complainants' access fees at the \$8.00 flat rate while calculating access fees for other ground transportation companies at the per trip rate.

Response: This exception is wholly irrelevant as Complainants have already acknowledged that their other allegations for Shipping Act violations have been dismissed and the only remaining issue to be determined was whether Respondents were justified in their differential treatment of Complainants' shuttle buses based on legitimate transportation factors. Judge Guthridge rightfully found Respondents' differential treatment was justified.

7. Complainants take exception to the following statement on page 14 of the IDR:

The June 16, 2014, Complainants alleges that by imposing access fees on them at the rate of \$8.00 per parking space per month while at the same time charging other commercial passenger vehicles for each trip, the Port violated three sections of the Act.

Response: Again, this exception is wholly irrelevant as Complainants have already acknowledged that the only remaining issue to be determined was whether Respondents were justified in their differential treatment of Complainants' shuttle buses based on legitimate transportation factors. Judge Guthridge rightfully found Respondents' differential treatment was justified.

8. Complainants take exception to the following statement on page 25 of the IDR:

26A. Common carriers such as taxicabs are not off-port parking users.

Response: Contrary to Complainants unfounded exception, Judge Guthridge never defined taxicabs as a “common carrier” pursuant to 46 U.S.C. § 40102(6). Throughout most of the Initial Decision on Remand, taxicabs are discussed as “ground common carriers,” and are defined by the tariff as “ground transportation companies.” Further, this exception is irrelevant to the remaining issue of whether the differential treatment of Complainants’ shuttle busses was justified by legitimate transportation factors.

9. Complainants take exception to the following statement on page 27-28 of the IDR:

47. The Port had invoiced EZ Cruise for 8,793 trips at \$10.00 per trip, a total of \$87,930.00, for access to the port between January 2005 and June 2006. As a result of the application of the \$8.00 per space per month access provision, EZ Cruise paid \$35,680.00 for access between January 2005 and June 2006 (equivalent to \$4.06 per trip), saving \$52,250.00.

Response: Complainants’ exception has been waived and is irrelevant. Judge Guthridge notes in his footnote to this ALJFF that Complainants did not dispute the dollar amounts shown in this finding, as proposed by Respondents. Further, this exception is irrelevant to the remaining issues concerning the finding that (1) Respondents were justified in their differential treatment of Complainants shuttle buses based on legitimate transportation factors, and (2) the statute of limitations would apply to the limousine charges in 2006.

10. Complainants take exception to the following statement on page 34 of the IDR:

80. Between August 28, 2006, and October 1, 2014, Note D of Tariff Circular No. 6 did not provide a mechanism to determine “billable parking spaces” for hotels providing parking to cruise passengers with transportation to and from the cruise terminal.

Response: Complainants’ exception to this statement is based on their continued argument that hotels are “Off-Port Parking Users” under the Tariff. From the time that Access Fees were first included in the Tariff in 2003, the Tariff always distinguished “Off-Port Parking Users” from lodging and other industries. *See* Resp. Tab 1 at p. 000019; Resp. Tab 2 at p. 000093; Resp. Tab 2 at p. 000093; Resp. Tab 5 at p. 000324; Resp. Tab 6 at p. 000395-397. Complainants’ subjective interpretation cannot change this fact.

Additionally, this exception is asserted to argue that a method to determine a hotel's "billable parking spaces" was theoretically possible. That argument is irrelevant. The Finding correctly states that *the wording of the Tariff* provided no mechanism for determining how those theoretical "billable parking spaces" could be ascertained and then billed on a flat rate basis – which is indisputably correct. Judge Guthridge correctly determines from this fact that hotels were neither intended to be nor actually charged a flat per space rate under the Tariff.

Cruise passengers occupy a very small percentage of the parking spaces at hotels. ALJFF 82. As a result, the Port could not reasonably attempt to charge hotels a flat fee for every space located at the hotel. Resp. App. Tab 88 at p. 2625, ¶ 6.

11. Complainants take exception to the following statement on page 35 of the IDR:

84. Without a change to City of Galveston taxicab regulations, an access fee imposed on taxicabs by the Port of Galveston could not be passed on to passengers.

Response: Complainants have not provided any evidence as to the frequency taxicabs licensed in other municipalities access the Cruise Terminal. Further, if Respondents have no control over the regulation of City of Galveston taxicabs, they surely do not have control over regulating taxicabs from other municipalities.

12. Complainants take exception to the following statement on page 38 of the IDR:

***Ceres I* Element 3 requires a complainant to show that “the unequal treatment is not justified by differences in transportation factors.”**

Response: Complainants offer no basis for this exception. The statement is a direct quote from *Ceres I*. The IDR goes on from there to discuss that while Respondents have the “burden of production” of evidence justifying their conduct in certain instances, Complainants still have the burden “of proving that the Port acted unreasonably.”⁵ Thus, Complainants do ultimately have the burden in establishing all elements of *Ceres I*. Where applicable, Respondents’ burden is to produce evidence justifying the difference in treatment based on legitimate transportation factors. Requiring Respondents to show that the “unequal treatment is **not** justified by differences in transportation factors,” as Complainants apparently assert in this exception, is in direct contradiction to the law.

13. Complainants take exception to the following statement on page 41 of the IDR:

After a year of negotiations the Port agreed to charge Complainants a flat monthly rate for unlimited access, ALJFF 37, thereby greatly

⁵ IDR at p. 38, citing *Maier v. PANYNJ*, 33 S.R.R. at 840-841).

reducing the access fees paid by Complainants for the first 18 months that the Port collected access charges and for the future.

Response: Complainants were not arbitrarily designated as “Off-Port Parking Users.” They requested this treatment and agreed to it after a year of negotiations concerning the amount they would be charged. Further, as Complainants admitted in their Brief, their flat fee agreement was based on the number of parking spaces in their parking lots and they didn’t have to pay a per trip access fee. Comp. Brief at p. 19. If they called a taxicab to transport their customers, it would only have cost them the price of the cab ride.

14. Complainants take exception to the following statement on page 41 of the IDR:

The unlimited access provision in the \$8.00 flat rate provided a significant transportation advantage to Complainants.

Response: Notwithstanding this exception, Complainants essentially admit that being granted unlimited access to the Cruise Terminal for a flat fee was a “significant” financial advantage. They attempt to counter this admission by claiming that “selective enforcement” (relating to taxicabs and limousines) “of the Tariff,” when weighed with the financial benefit, somehow resulted in a “disadvantage.” As Judge Guthridge held that Complainants were justifiably treated differently, any alleged “selective enforcement” of Tariff provisions relating to those entities was justified, making this claim irrelevant. Further, there was no “selective enforcement” as to taxis because taxis were not charged access fees under the Tariff. ALJFF 29 and Resp. App. Tab 6 at 000391 (depicting taxis separately from other types of ground transportation services with no access fee required). Judge Guthridge determined correctly that the Port’s practices of not charging taxis or limousines for a period of time was within the Port’s business discretion. Other than simply disagreeing with this finding, Complainants proffered no evidence to refute it.

Further, Jeffrey Compton, CPA, determined that the \$8.00 per space rate resulted in significant financial savings to Complainants from 2006 until September 2014. Resp. App. Tab 7 at 000407. Complainants offered no rebutting expert opinion. Complainants failed to provide any evidence of the financial impact of their alleged “disadvantages.” They provided only speculative, self-serving arguments claiming that if had they been charged the per trip rate (even though in 2005 and 2006 they refused to pay on that basis), they would have done business differently. These unsupported arguments are completely contradicted by the evidence actually in the record in this Proceeding.

15. Complainants take exception to the following statement on page 41 of the IDR:

Hotels, on the other hand, were charged an access fee each time their vehicles entered the port.

Response: Complainants mischaracterize the evidence to make an unfounded statement. The record reflects that oversights were made and corrected once they were brought to light. Resp. App. Tab 77 at p. 2086; App. Tab 103 p. 2767 – 68. Assuming that Complainants’ speculation is correct, and that some hotel shuttles inadvertently “slipped through” and were not counted and charged, such inadvertent and unintentional omissions cannot be characterized as differential treatment under *Ceres I*.

16. Complainants take exception to the following statement on page 42 of the IDR:

Complainants do not identify any contemporary evidence to support a finding that during the negotiations between Complainants and the Port to resolve the access fees invoiced for the period January 2005 through June 2006 and development of the \$8.00 flat rate, either Complainants or the Port contemplated applying the flat rate to hotels offering parking for cruise passengers.

Response: In spite of this exception, Complainants do not actually dispute this finding. The overwhelming evidence in the record reflects that the \$8.00 per space rate was to be charged only to those parking lots such as Complainants’ lots. There is no evidence whatsoever to the contrary. Complainants spent the better part of a year and a half negotiating this special treatment with the Port; it is completely disingenuous to now claim they did not know that same special treatment only applied to private parking lot operators like them. Finally, the Port’s Tariff always distinguished “Off-Port Parking Users” from hotels and others, as discussed above.

17. Complainants take exception to the following statement on page 42 of the IDR:

Complainants do not identify any evidence supporting a finding that the hotels they argue should have been assessed access fees calculated at the \$8.00 flat rate – Holiday Inn, Moody Gardens, Comfort Inn & Suites on the Beach, and the other hotels identified in ALJFF 81 – were start-up companies such as EZ Cruise for which the flat rate would be much easier to budget.

Response: Complainants offer no evidentiary support for this exception. Indeed, they cannot - Complainants *described themselves* as “start up” companies in negotiating the flat rate. Resp. App. Tab 53 at p. 001773; Resp. App. Tab 075 at p. 002072. Complainants do not actually except the underlying ALJFF. Finally, the Port’s Tariff always distinguished “Off-Port Parking Users” from hotels and others, as discussed above.

18. Complainants take exception to the following statement on page 42 of the IDR:

“Complainants do not identify any evidence supporting a finding that when the Port amended the tariff, it intended to apply the flat rate to hotels in lieu of the per trip rate already applicable to hotel shuttles...”

Response: This exception is a repetition of the same argument raised previously by Complainants.⁶ Moreover, this exception does not deny the actual facts set out by Judge Guthridge. Complainants offer no evidence showing any intent – ever – to charge access fees to hotels at the \$8.00 per space rate. Complainants suggest instead that the “intent” of the Tariff is not relevant.⁷ They are completely wrong. As recently as December of 2015, the Commission held,

Moreover, that the Shipping Act has no intent requirement and that “the mere doing of an unlawful act, whether part of a seemingly legitimate business decision or otherwise, constitutes a violation” is not relevant here The Court in *Volkswagenwerk Aktiengesellschaft v. Federal Maritime Commission* noted that reasonableness “does not depend on unlawful or discriminatory intent.” 390 U.S. 261, 281 (1968). **A respondent’s justifications for its conduct, however, are relevant to whether it violated the Shipping Act.** See, e.g., *Ceres*, 27 S.R.R. at 1274. And although “commercial convenience cannot justify a practice that is otherwise unreasonable,” *Investigation of Free Time Practices – Port of San Diego*, 7 S.R.R. 307, 323 (FMC 1966), a port authority may consider a number of legitimate business considerations in operating a port and negotiating leases, such as market conditions, available locations and facilities, and the nature and character of potential lessees. *Ceres*, 27 S.R.R. at 1274; see also “50 Mile Container Rules” *Implementation by Ocean Common Carriers Serving U.S. Atl. & Gulf Coast Ports*, 24 S.R.R. 411, 455 (FMC 1987)(listing “recognized transportation considerations”); *N. Atl. Mediterranean Freight Conference – Rates of Household Goods*, 9 S.R.R. 775, 784 (FMC 1967). Contrary to Maher’s suggestion, whether a port authority has “business reasons” for its conduct is not irrelevant to its liability under the Shipping Act.

Maher Terminals, LLC v. The Port Authority of New York, et al., No. 12-02, 2015 WL 9426189, at * 15 (FMC Dec. 18, 2015) (emphasis added). Complainants assert a technical Shipping Act violation predicated solely on their unilateral interpretation of the Tariff, in a manner which actually contradicts the language actually used in the Tariff.. However, the Port’s intention and interpretation of its own Tariff, which are consistent with that same language and which are supported by the facts giving rise to its adoption (the negotiations for the \$8.00 per space rate) established that hotels were not to be charged access fees at the \$8.00 per space rate. No violation occurred – technical or otherwise.

⁶ See, e.g., Exceptions Nos. 10, 16 and 17, *supra*.

⁷ As the record amply reflects, the flat rate was the subject of a year and a half long negotiation. ALJFF 37-44. No one conceived it to be interpreted as requiring the Port to charge hotels on an \$8.00 per space per month basis as requested and agreed to by the Complainants in their “deal” with the Port. (Resp. App. Tab 78 at p. 002072; Resp. App. Tab. No. 69); (Resp. App. Tab 83 at p. 22).

19. Complainants take exception to the following statement on page 42 of the IDR:

There is no mechanism establishing by the tariff to determine billable parking spaces for hotel operators that provide parking and transportation for the small percentage of their customers who leave their vehicles in hotel lots while they cruise...

Response: As previously addressed above, hotels are not “Off-Port Parking Users” and so the mechanism established by the Tariff do not apply to Hotels.

20. Complainants take exception to the following statement on page 43 of the IDR:

(4) the \$8.00 flat rate does not provide a mechanism to determine the number of billable parking spaces for these hotels; (5) ... developing a mechanism to determine access fees for determining the billable parking spaces of hotels that use only a small percentage of their parking spaces for cruise passenger is virtually impossible; and (5) there is no contemporaneous evidence that either the Port or Complainants intended to require these hotels to use the \$8.00 flat rate in lieu of the \$10.00 per trip access fee when the flat rate was adopted.

Response: Once again, Complainants offer legal argument unsupported by any evidence, and suggest that it be given greater weight than the evidence actually presented in this case. Complainants suggest that three percent of hotel parking spaces should be used to charge hotels. However, they admit they have no “study” or other reliable evidence to support this suggestion. Judge Guthridge’s findings in this paragraph support a finding that the \$8.00 per space rate was not enacted to apply to hotels, as discussed above. Complainants’ actions in 2005 and 2006 show quite clearly that they had no desire to be charged on the same basis as hotels. They wanted a special, more favorable rate because of their “start up” situation. Resp. App. Tab 53 at 1773; Resp. App. Tab 075 at 2072. Judge Guthridge correctly found that the provision regarding “Off-Port Parking Users” was developed as a result of negotiations between the Wharves and Complainants after Complainants refused to pay a per trip fee. ALJFF 32-34, 36-37. These findings were not denied on appeal. Instead, the parties negotiated and settled upon the \$8.00 per space rate. ALJFF 32-42. Deposition testimony of principals of the Complainants admitted that this rate was a “deal” for them. *See eg.* Resp. App. Tab 83 at p. 2531.

Complainants again speculate that hotels could have been “required” to rope off “cruise passenger only” spaces, which could then have been charged access fees at the per space rate. . There is nothing in the record to support such a formula. The Tariff did not provide for it. The Tariff expressly stated that the monthly access fee would be “equal to the amount of \$8.00 per parking space located at the Off-Port Parking Users’ parking

facility.” This was confirmed in the definition of “billable parking spaces” added to the May 2014, Tariff. Resp. App. Tab 5 at p. 000323.

21. Complainants take exception to the following statement on page 47 of the IDR:

Complainants have established that they were treated differently than the hotels and taxicabs.

Response: Justice Kavanaugh and the ALJ determined that Complainants were treated differently than limousines. However, on remand the ALJ correctly determined this differential treatment was justified based on legitimate transportation factors.

22. Complainants take exception to the following statement on page 47 of the IDR:

In this case, however, as set forth more fully below, the evidence supports a finding that when Complainants are compared to the hotels, Complainants *benefitted* from the use of the \$8.00 per space per month flat rate and that it gave them a preference or advantage over the hotels.

Response: Complainants’ have again failed to provide any evidence for the “selective enforcement” that they claim occurred. Further, they have not provided any evidence that Hotels utilized taxicabs and limousines in the way Complainants argue.

23. Complainants take exception to the following statement on page 47 of the IDR:

The evidence in the record would not support a finding that Complainants were prejudiced or disadvantaged by the flat rate as compared to the per access rate for the years between 2006 and 2014 when the Port amended the tariff to eliminate the \$8.00 per parking place per month charge for off-port parking users.

Response: Respondents never admitted to selective enforcement and Complainants have failed to provide any evidence of such. In fact the evidence shows the opposite. Resp. Tab 103 at 002767 – 2769. Further, the ALJ’s discussion regarding the flat rate compared to the per access rate is accurate. Complainants simply try to mischaracterize the statement by discussing taxicabs and limousines, which were treated differently due to different transportation factors unique to each. Complainants never asserted that they should be charged similarly to taxicabs or limousines when they negotiated their per-space access fee rate over a period of approximately 18 months.

24. Complainants take exception to the following statement on page 48 of the IDR:

In this proceeding, Complainants have the burden of proving that they paid more because the Port charged them using the \$8.00 flat rate than they would have been paid that they been charged for each access.

Response: Complainants continue to reiterate their arguments in a circular fashion. The difference in treatment was justified by legitimate transportation factors. The evidence shows that no selective enforcement occurred. Resp. App. Tab 103 p. 2767 – 68. Finally, as Complainants have admitted, their bargained-for flat fee would remain the same regardless if they utilized taxis or limousines. Comp. Brief at p. 19.

25. Complainants take exception to the following statement on page 54 of the IDR:

Complainants' argument does not prove Complainants were prejudiced or disadvantaged and suffered actual injury.

Response: Complainants again mischaracterize the ALJ's discussion as it relates to the flat fees enjoyed by Complainants compared to per trip access fees for which Complainants originally complained about being charged.

26. Complainants take exception to the following statement on page 59 of the IDR:

Assuming that the Port violated section 41106(2) when it calculated Complainants' access fees using the \$8.00 flat rate, Complainants' argument does not prove by a preponderance of the evidence that Complainants suffered actual injury from the use of the flat rate instead of the per access rate.

Response: Complainants again argue, with no evidence, that they were injured by being charged access fees under this special flat rate they requested, negotiated and agreed to, instead of being charged by the per-trip rate they intentionally sought to avoid. They failed to present a single piece of evidence that would prove injury with reasonably probability. Their first argument is nonsensical – it states that others were granted undue and unreasonable preference and advantages, *which they relied on*, and suffered actual injury. Their second argument is conclusory, simply stating as a given without any evidentiary support that they “subsidized” other Cruise Terminal users.

Complainants then essentially argue that the Coble Act⁸ has altered the *Ceres* elements to allow them to be a prevailing party. They suggest that if the Commission

⁸ See fn. 4, *supra*.

would accept their interpretation that the \$8.00 per space rate applied to hotels, then they “win” due to a technical violation, notwithstanding anyone’s intent. This Commission has rejected the concept that the intent of the parties is irrelevant. *See Maher Terminals*, 2015 WL 9426189, at *15. In this case, the Port’s intention and interpretation of its own Tariff, supported by the undisputed facts regarding the negotiations for the \$8.00 per space rate, established that hotels were not to be charged the \$8.00 per space rate. Beyond that, since Judge Guthridge determined that Respondents were justified in their differential treatment of Complainants based on legitimate transportation factors,

27. Complainants take exception to the following statement on page 59 of the IDR:

As a result of the application of the \$8.00 flat rate, EZ Cruise paid \$35,680.00 (equivalent to \$4.06 per trip) for access between January 2005 and June 2006, saving \$52,250.00, or more than 59%.

Response: Complainants fail to cite to any evidence for the conjecture provided in this exception. However, even if their numbers were correct, they still would have saved a substantial amount of money.

28. Complainants take exception to the following statement on page 63 of the IDR:

Complainant did not subsidize other users as a result of the May 19, 2014, increase in the flat rate to \$28.88.

Response: This exception is irrelevant and yet another attempt to restate Complainants’ issue with taxis and limousines, which Judge Guthridge held were justified based on legitimate transportation factors. Respondents’ expert, CPA Jeffrey Compton, reviewed the data and Complainants’ alleged “subsidy damages” and opined, based on his expertise and analysis, that Complainants had no support for their claims. Resp. Tab 103 at 002767 – 2769. Complainants never disputed this opinion or its foundation. Mr. Compton also specifically noted that if the Port failed to collect fees from some users, there was nothing to support a claim that this caused Complainants to pay more than what they were being charged under the Tariff. *Id.* at p. 002769. Complainants wholly failed to prove a subsidy or the economic “disadvantage” resulting therefrom.

29. Complainants take exception to the following statement on page 63 of the IDR:

Therefore, I conclude that Complainants have not proved that they were prejudiced or disadvantaged and suffered actual injury from the Port’s use of the \$8.00 flat rate instead of the per trip to calculate their access fees.

Response: Complainants exceptions mischaracterize what Judge Guthridge actually held. The IDR simply stated that Complainants were not harmed or injured by having to pay the \$8.00 flat rate as compared to the \$10.00 per trip rate. Obviously the \$10.00 per trip rate would have cost Complainants more. Complainants again seek to focus on the taxis and limousines who were not charged based on legitimate transportation factors unique to each.

30. Complainants take exception to the following statement on page 64 of the IDR:

If Complainants are found to be entitled to a reparation award because the Port Violated section 41106(2) by using the \$8.00 flat rate to determine Complainant's access fees and using the per trip rate to determine the hotels' access fees, the effect of the Act's statute of limitations arises.

Response: Complainants have waived this claim. They never excepted to Judge Guthridge's actual findings regarding the Act's statute of limitations. Instead, they focus on whether they were damaged. . They offer no legal or factual basis to contest this finding or the applicability of the statute of limitations.

31. Complainants take exception to the following statement on page 65 of the IDR:

Because the Port records are subject to review under state law, with due diligence [Complainants] could have discovered that the hotels were charged on a per trip rate, not the \$8.00 flat rate. Therefore, the statute of limitations bars a claim for a reparation award for based on the different treatment of hotels for conduct occurring before June 16, 2011.

Response: Again, Complainants have waived this claim. They never excepted to Judge Guthridge's actual findings regarding the Act's statute of limitations. Instead, they focus on whether they were damaged. . They offer no legal or factual basis to contest this finding or the applicability of the statute of limitations.

32. Complainants take exception to the following statement on page 68 of the IDR:

Complainants have not proved by a preponderance of the evidence that the Port has violated section 41106(2) of the Shipping Act by calculating Complainants' access fees at the rate of \$8.00 per parking space per month. Therefore, Complainants' Complaint is dismissed with prejudice.

Response: Complainants' exception is disingenuous as Judge Guthridge addressed all remaining issues on remand as ordered by Justice Kavanaugh and, in turn, the Commission.

DISCUSSION

I. LEGAL STANDARDS

A. COMMISSION RULE OF PRACTICE AND PROCEDURE 227

Respondents agree that the Commission shall review the Initial Decision on Remand under a *de novo* standard of review. 46 C.F.R. § 502.227(a)(6).

B. SHIPPING ACT VIOLATIONS ALLEGED IN THE ORIGINAL AND FIRST AMENDED COMPLAINT WHICH ARE NOW MOOT

Complainant's reiteration of their First Amended Verified Complaint is surplusage. Complainants did not appeal or seek further review of Judge Guthridge's rulings in his November 21, 2014, Order dismissing all but Complainants' allegations under 46 U.S.C. § 41106(2). That Order is final per the Commission's December 23, 2014 Notice Not to Review. Complainants cannot seek reconsideration of that order at this stage. 46 C.F.R. § 502.153(b).

C. REMAINING SHIPPING ACT VIOLATIONS ALLEGED IN THE FIRST AMENDED VERIFIED COMPLAINT

The only live claim remaining in this appeal is Complainants' allegations under 46 U.S.C. § 41106(2). Judge Guthridge correctly stated the elements and standard of proof for such a claim:

In order to establish an allegation of an unreasonable preference or prejudice, it must be shown that (1) the two parties are similarly situated or in a competitive relationship, (2) the parties were accorded different treatment, (3) the unequal treatment is not justified by differences in transportation factors, and (4) the resulting prejudice or disadvantage is the proximate cause of the injury. The complainant has the burden of proving that it was subjected to different treatment and was injured as a result and the respondent has the burden of justifying the difference in treatment based on legitimate transportation factors.

IDR at p. 4 (citing *Ceres*, 27 S.R.R. at 1270–71).

Further, the only element left to be decided was whether Respondents offered evidence to justify the differential treatment of Complainants shuttle buses by legitimate transportation factors. IDR at pp. 7 – 8 (citing *Santa Fe Disc. Cruise Parking, Inc.*, 889 F.3d at 797).

II. UNDISPUTED FINDINGS OF FACT

Complainants did not expressly take exception to any enumerated Findings of Fact set forth by Judge Guthridge in his Initial Decision on Remand, except for Finding Nos. 26A, 47, 80, and 84.⁹ All other Findings of Fact should be deemed undisputed and any exceptions and appeal of the same waived. 46 CFR § 502.227(a)(1) (outlining procedures required for excepting to finding by ALJ); 46 CFR 502.1 ("The rules in this part govern procedure before the Federal Maritime Commission . . ."); *Green Master Int'l Freight Services Ltd.*, No. 01-10, 2003 WL 1016920, at *12 (F.M.C. Feb. 28, 2003) (rejecting exception where party "did not provide any credible evidence to substantiate its claim . . . nor has it shown that the ALJ erred in weighing the evidence.").

III. SUBSTANTIVE ERRORS AND EXCEPTIONS

A. THE INITIAL DECISION ON REMAND ADDRESSED THE ISSUES IDENTIFIED BY THE UNITED STATES COURT OF APPEALS FOR THE DISTRICT OF COLUMBIA CIRCUIT'S ORDER.

Complainants suggest that Judge Guthridge's IDR failed to determine whether Respondents had met their burden of showing "that the differential treatment of Petitioners' shuttle buses is justified by legitimate transportation factors" when compared to:

1. Taxicabs under the Tariff;

⁹ Complainant's Exception Nos. 8, 9, and 10 p. 7 and Complainant's Exception No. 11 p. 8.

2. Limousines under the Tariff;
3. Granting Limousines free access to the Cruise Terminal in violation of the terms of the Tariff;
4. Respondents' alleged "selective enforcement" of the Tariff, whereby Complainants were consistently charged Access Fees while other Commercial Passenger Vehicles accessing the Cruise Terminal for the same purpose as Complainants were not always charged pursuant to the Tariff; and
5. Charging Complainants full Access Fees even when they simply arranged for limousines that their customers utilized for access to the Cruise Terminal – which, pursuant to the Tariff at the time, were to be granted free access to the Cruise Terminal.

The question remaining in this proceeding is simply whether Respondents offered evidence showing that the difference in treatment of Complainants' shuttle buses are justified based on legitimate transportation factors. The record is full of such evidence, which is largely undisputed, that Complainants' differential treatment is indeed justified by legitimate transportation factors. Judge Guthridge found that Complainants received and benefited from a transportation factor in the form of reduced delay that justified their differential treatment. *See, e.g.,* IDR at p. 42 (discussing how Complainants' flat fee for unlimited access allowed them to transport cruise passengers with reduced delay by not having to wait to fill their shuttles to maximize the economics of each trip to the Cruise Terminal.).

Judge Guthridge also found that unlike Complainants, hotels, taxicabs, limousines, and the remaining ground transportation companies in general do not operate parking facilities for cruise passengers and thus their access fee could not be calculated based on parking spaces that either do not exist for that same specific purpose or simply do not exist at all. Further, the undisputed evidence demonstrates the unique nature and difference in volume and frequency of cruise passengers transported to the cruise terminal by the respective ground transportation companies. Implicit in this analysis is that Complainants transport more passengers to the Cruise

Terminal than the other ground transportation companies and therefore bargained for and received a different access fee that was more favorable to them. This difference in the frequency and volume of cruise passengers being transported to the Cruise Terminal by the respective ground transportation companies is also a transportation factor justifying the differential treatment Complainants enjoyed.

B. THE INITIAL DECISION ON REMAND CONSIDERED ALL THE REMAINING ISSUES FORMING THE BASIS OF THE COMPLAINT.

Complainants suggest to the Commission that Judge Guthridge's Initial Decision on Remand failed to address six additional "claims" raised in the First Amended Verified Complaint:

1. [T]he Wharves Board has not enforced or collected [Access Fees pursuant to the Tariff] from any such hotel since inception of the Tariff. By contrast, the Wharves Board has enforced and collected Access Fees from Complainants since inception of the Tariff. This, in and of itself, has created a substantial loss of revenue to the Cruise Terminal, and resulted in the situation at bar; that is, Complainants are now [by virtue of disproportionate increases in Access Fees] being asked to subsidize Respondents' past and future failures to implement, enforce, and collect Access Fees under the Tariff from these other Off-Port Parking Users. First Amend. Comp. at pp. 22-23.
2. Respondents have historically failed to charge and/or collect Access Fees from a material percentage - if not a majority - of commercial vehicles that have accessed the Cruise Terminal since the Tariff's inception. As such, Respondents have forced Complainants to subsidize other non-paying users' share of Cruise Terminal costs, providing those users with an undue preference or advantage over Complainants. First Amend. Comp. at p.25.
3. Imposing an unreasonable, unduly prejudicial, and discriminatory allocation of the Cruise Terminal's costs upon Complainants, but not other users of the Respondent's services under Tariff Circular No. 6, Item 111- Other Licenses and Permits. First Amend. Comp. at p.29.
4. Unreasonably and unjustifiably modifying and/or increasing the Access Fee (for the third time in nine months) under the Tariff for Complainants. First Amend. Comp. at p.29.

5. Unreasonably discriminating against Complainants by imposing an unfair and disproportionate increase in Access Fees in comparison to increases, if any, imposed on other users of Respondents' services under Tariff Circular No. 6, Item 111 - Other Licenses and Permits. First Amend. Comp. at p.29.
6. Unreasonably, unjustifiably, unfairly, and with undue prejudice, refusing to observe, implement, enforce and collect Access Fees from all Commercial Passenger Vehicles accessing the Cruise Terminal. First Amend. Comp. at p.29.

Complainants suggest that each of these allegations were preserved by the following paragraph:

Through disparate treatment of Complainants based on Tariff rates charged, and in the form of Respondents' preferential exclusion of certain port users from collection of Access Fees, coupled with Respondents' selective enforcement of the Tariff, Complainants have been burdened with an unjust economic disadvantage and a resulting *de facto* subsidization of benefits received by other Cruise Terminal users who are similarly situated and/or in a competitive relationship with Complainants.

(Complainants' Exceptions at 25 citing Comp. Br. at 13).

Complainants now further suggest that the following paragraphs also preserve their allegations:

By not enforcing the Tariff equally amongst all port users who are similarly situated and/or in a competitive relationship with Complainants, Respondents engaged in disparate treatment which burdened Complainants with an unreasonably prejudice and disadvantage, and resulted in economic injury.

(Complainants' Exceptions at 25 citing Comp. Br. at 20-21).

By waiving the Access Fee for taxicabs, Complainants are forced to subsidize the benefits received by those taxicabs and the local hotels/motels that utilize the taxicabs for transportation of cruise passengers who park their vehicles in those hotels/motels parking lots.

(Complainants' Exceptions at 25 citing Comp. Br. at 25 (quoted in IDR at 37, and addressed as being reasonable.).

Complainants' First Amended Verified Complaint contained a series of repetitive allegations which all fell within their claim of a violation of 46 U.S.C. § 41106(2). In their briefing and argument to Judge Guthridge, Complainants never argued any of these allegations specifically. Thus, these claims fail. *Green Master Int'l Freight Services Ltd.*, No. 01-10, 2003

WL 1016920, at *12 (F.M.C. Feb. 28, 2003) (rejecting exception where party "did not provide any credible evidence to substantiate its claim . . . nor has it shown that the ALJ erred in weighing the evidence."). In addressing the specific issue at hand, Judge Guthridge determined that Respondents justified the differential treatment by legitimate transportation factors. Further, he correctly found that Complainants did not prove beyond a preponderance of the evidence that the differential treatment was undue or unreasonable. Therefore these recitations of arguments are not applicable to the decision on remand because are irrelevant.¹⁰

C. THE INITIAL DECISION ON REMAND CORRECTLY FOUND THAT COMPLAINTS HAVE NOT SATISFACTORILY PROVEN VIOLATIONS OF SECTION 41106(2)

1. The Initial Decision on Remand did not erroneously shift the burden of *Ceres I* Element 3 from Respondents to Complainants

Respondents do not have to satisfy *Ceres I* element 3. Respondents simply have to justify the differential treatment based on legitimate transportation factors. *Santa Fe Disc. Cruise Parking, Inc.*, 889 F.3d at 797. As the ALJ rightfully found, Complainants have the burden to show that Respondents' justifications are undue or unreasonable. *Maher v. PANYNJ*, 32 S.R.R. 1185, 1193 (FMC 2013). Complainants failed to do so, and therefore their claim under 46 U.S.C. §41106(2) fails as a matter of law.

Complainants continue to ignore their burden to prove that Respondents acted unreasonably. *See Ceres*, 27 S.R.R. at 1270–71. As the Commission noted in *Ceres*,

[Complainants have] the burden of proving, by a preponderance of the evidence, that the Port violated the Shipping Act, and this burden of persuasion does not shift. 5 U.S.C. § 556(d); 46 C.F.R. § 502.155; *Revocation of Ocean Transportation Intermediary License No. 022025 Cargologic USA LLC*, Docket No. 14-01, 2014 FMC LEXIS 18, at *8

¹⁰ Further, these claims are completely refuted by the evidence offered previously. *See* Respondents The Galveston Wharves and Galveston Port Facilities Corporation's Reply to Complainants' Exception to and Appeal of Initial Decision, filed on February 2, 2016 at pages 27-29, which are incorporated herein by reference.

(FMC Aug. 28, 2014); *DSW Int'l, Inc. v. Commonwealth Shipping, Inc.*, 32 S.R.R. 763, 765 (FMC 2012); *Id.*

Subsequent decisions interpreting *Ceres I* also hold that complainants bear the ultimate burden of proving that the Port acted unreasonably. *Maier Terminals, LLC v. Port Auth. of N.Y. & N.J.*, 33 S.R.R. 349, 376 (ALJ 2014) (Initial Decision) (citing *Maier v. Port Auth. of N.Y. & N.J.*, 32 S.R.R. 1185, 1193 (FMC 2013)); *West Gulf Maritime Assoc. v. Port of Houston*, 18 S.R.R. 783, 791 (FMC 1978) (“the burden of establishing the unreasonableness of a practice is squarely upon [the complainant]”); *see also* 5 U.S.C. § 556(d) (stating that “the proponent of a rule or order has the burden of proof”); *Director, Office of Workers’ Compensation Programs v. Greenwich Collieries*, 512 U.S. 267, 276 (1994) (holding that “the APA’s unadorned reference to ‘burden of proof’ refers to the burden of persuasion). Complainants failed to meet this burden as to any of their claims.

Complainants argue that Respondents and the IDR failed to address the different treatment between Complainants and hotels/motels, limousines, or buses, instead of meeting their own burden to show that Respondents’ justifications were unreasonable. Complainants similarly argue that Respondents’ alleged failure to address their burden of proof in their briefs resulted in abandonment of this element. This is simply not true. The record is replete with evidence and argument regarding the justifications based on legitimate transportation factors for the difference in treatment between Complainants and the other ground transportation providers discussed in their Complaint. The vast difference in volume of cruise passengers accessing the Cruise Terminal via Complainants versus other ground transportation providers is abundantly clear. Complainants make up the largest volume of transporters of cruise passengers in and out of the Cruise Terminal. Resp. Corr. Brief at p. 30. Limousines and coach buses accessing the Cruise Terminal are sporadic in nature. Resp. Corr. Brief at pp. 29 – 30; Resp. App. Tab 77 at p.

2086. There is difficulty in securing a sufficient number of taxicabs to provide transportation for cruise passengers. IDR at p. 45 (citing Port App. 068 at 1943-1945). The City of Galveston has exclusive jurisdiction on regulating taxicab charges. Resp. App. Tab No. 75 at p. 2078. Cruise passengers occupy a very small percentage of the parking spaces at hotels. ALJFF 82.

Further, how the two different entities operate was thoroughly briefed by Respondents and addressed by the ALJ. IDR at p. 44. By not operating parking lots, taxis and limousines only access the Cruise Terminal when requested by a cruise passenger. Resp. App. Tab 75 at pp. 2076 – 2077. In contrast, Complainants operate parking lots solely for the purpose of transporting cruise passengers to and from the Port of Galveston's Cruise Terminals as a convenience for their customers. Resp. App. Tab 80 at pp. 002314 – 2315; Resp. App. Tab 81 at 002418, lines 15 -23; Tab 83 at 002520, lines 11-15. The justification for the differential treatment of Complainants is crystal clear from the record and Judge Guthridge's findings.

2. The Initial Decision on Remand correctly found that Respondents have justified by legitimate transportation factors, the differential treatment of Complainants as to hotels.

The justification for the differential treatment of Complainants and hotels has thoroughly been addressed in the briefing, arguments, and even this reply. Complainants' argument regarding their "Off-Port Parking User" status and inability to utilize taxis or limousines to transport their customers makes absolutely no sense. The flat fee rate Complainants were charged is based on the number of parking spots in their parking lots, not the number of trips they make. Utilizing taxicabs or limousines to transport their parking lot customers would not have changed the rate they paid. Complainants have admitted to this. Comp. Brief at 19. Further, Complainant's have provided no evidence, other than pure self serving conjecture, that hotels used taxis to avoid paying any access fee. Judge Guthridge was correct in his finding that

Respondents have justified the differential treatment of Complainants through legitimate transportation factors as they compare to hotels.

3. The Initial Decision on Remand correctly found that Complainants have not shown injury proximately caused by the undue or unreasonable preference/advantage or prejudice/disadvantage with respect to hotels.

Complainants argue that they did show that the Port “unreasonably” gave preferential treatment to hotels.¹¹ Their entire argument is predicated on the definition of “Off-Port Parking User” as written in the 2006 Tariff. Complainants do not dispute that the Tariff was written as a result of the 2006 negotiations and settlement between the Port and Complainants. Complainants do not dispute that there is no evidence that anyone – the Port, Complainants or the hotels – understood the Tariff to require hotels to pay the \$8.00 per space per month flat rate. Complainants do not dispute that hotels did not have the benefit of unlimited access for a flat rate given to Complainants. They proffered nothing to negate the evidence showing that Complainants received a significant economic benefit from the 2006 settlement and the flat rate they paid afterwards. Instead Complainants now argue that if the Port’s Tariff was interpreted differently – so that hotels could be construed to be “Off-Port Parking Users” thereunder - that the failure to charge them at the flat rate violated the Shipping Act.

Complainants except that the IDR failed to consider “their showing” that hotels arranged for their customers to be delivered to the Cruise Terminal via taxicabs and therefore were permitted to avoid being charged any access fees by not be treated as “Off-Port Parking Users.” (Comp. Exceptions at 31.) Complainants fail to accept the previous determinations by the ALJ and the Commission that hotels are not “Off-Port Parking Users.” Hotels do not meet the definition of “Off-Port Parking Users.” Specifically, hotels are not in the business involving the

¹¹ Complainants’ Exceptions, p. 31.

parking of motor vehicles. As the Commission already noted, “the provision of parking spaces is ancillary to the lodging services provided by a hotel.” Commission Order at p. 21.

Complainants further disingenuously argue that they have made a showing that hotels arranged for their customers to be delivered to the Cruise Terminal via taxicabs and therefore were permitted to avoid being charged any Access Fees. Complainants offer no proof of this assertion, because there is none. They provide no data and no information by which any such activity can be quantified; only innuendo and guessing. Their only evidence is the testimony of Complainant Sylvia Robledo, who testified that she **once** witnessed a hotel clerk at the Gaidos’ Hotel, which does not provide shuttles for lodgers, call a taxicab for a customer. Resp. App. Tab 80 at pgs. 2343 – 44. Ms. Robledo offered nothing to rebut the obvious presumption that the customer, and not the hotel, paid the customer’s fare. Instead, she claimed that some hotels do not transport cruise passengers lodging at their hotels to the terminal but instead require the customers to find their own transportation, such as taxicabs. *Id.* The inescapable conclusion is that the hotels she discussed did not “access” the Cruise Terminal and therefore owed no Access Fees.

As the ALJ correctly determined most recently in the IDR, Complainants clearly failed to meet their burden by a preponderance of the evidence that this preference/advantage or prejudice/disadvantage was unreasonable and that Respondents were justified in treating Complainants differently from hotels based on legitimate transportation factors.

4. The Initial Decision on Remand correctly found that Respondents have justified by legitimate transportation factors, the differential treatment of Complainants as to taxicabs and limousines.

Judge Guthridge fully considered the justifications for the differential treatment as between taxicabs and limousines on the one hand, and Complainants’ shuttle buses on the other.

The ALJ found that taxicabs and limousines do not operate parking lots. ALJFF 44. He noted that it would be impossible for Respondents to calculate a flat fee for taxicabs and limousines based on parking spaces that do not exist. IDR at 44. Judge Guthridge also considered the fact that there is a limited supply of taxicabs servicing the Cruise Terminal. IDR at 45. He clearly considered the differences in volume of cruise passenger supply between Complainants and taxicabs.

Complainants then argue that somehow Respondents have control over the rates taxicabs outside of Galveston are allowed to charge. Complainants responded to Respondents' proof that local taxicab rates are controlled by the City of Galveston, by basically arguing "what about the non-local taxicabs?" If Respondents do not have control over the regulation of rates for local taxicabs, how could they have control over the regulation of rates for non-local taxicabs? The problems Respondents demonstrated in charging limousines that access the cruise terminals sporadically apply to non-local taxicabs as well. Again, Petitioners failed to demonstrate that the differential treatment based on legitimate transportation factors was unreasonable. They failed to provide any evidence of undue or unreasonable advantages or disadvantages. The IDR was therefore completely correct on this issue.

5. The Initial Decision on Remand correctly found that Respondents have justified by legitimate transportation factors, the differential treatment of Complainants as to limousines.

First, and contrary to Complainants' arguments, Respondents never waived arguments regarding the justification for the differential treatment between Complainants and limousines. The record is full of argument and evidence to this effect. Further, Complainants' exception to Judge Guthridge's rulings regarding no unreasonable preferential treatment of limousines is both repetitive of their other arguments and equally fallacious. Complainants did not except to any

findings of fact regarding the operations of these entities. Judge Guthridge clearly considered the inability of Respondents to charge limousines a flat fee based on parking spaces that do not exist. IDR at p. 44. Further, the record is clear as to the sporadic nature of limousines accessing the Cruise Terminal, which causes problems when attempting to charge and collect Access Fees from individual limousine operators. Resp. Corr. Brief at pp. 29 – 30; Resp. App. Tab 77 at 2086.

It is also clear from the facts that where the Port did attempt to charge access fees but discovered billing errors, it then sought to enforce the Tariff prospectively – as it did with Complainants, when they initially failed to pay the Access Fees they owed. In any event, the Port’s decision to not pursue further collection efforts on unpaid Access Fees against limousine owners and operators, based on the inherent difficulty of doing so as the evidence demonstrated, was within the discretionary powers allowed the Port. *Maier v. PANYNJ*, 33 S.R.R. at 841, 853. The error did not constitute “unreasonable” disparate treatment and certainly does not give rise to a Shipping Act violation.

6. Judge Guthridge’s conclusions regarding injury as compared to taxicabs and limousines were conditioned on a reversal of his conclusions that Respondents’ justified the differential treatment.

In their exceptions, Complainants misstate Judge Guthridge’s conclusions. Contrary to Complainants’ position, Judge Guthridge’s conclusions as to injury are predicated on “if the Commission were to find that Complainants proved by a preponderance of the evidence that the Port’s decision not to charge taxicabs and limousines is not justified by differences in transportation factors,...” Ultimately, the injury that Complainants allegedly suffered does not matter because (1) Respondents offered evidence justifying the differential treatment based on

legitimate transportation factors, and (2) Complainants offered no evidence to show that the differential treatment was unreasonable.

D. THE INITIAL DECISION ON REMAND CORRECTLY FOUND THAT COMPLAINANTS DID NOT PROVE ANY VIOLATIONS OF SECTION 41106(2)

1. The Initial Decision on Remand Correctly found that the Port properly exercised “discretionary business decisions.”

Complainants assert that apart from justification for the difference in treatment of Complainants and taxicabs, the record is “devoid of any evidence, argument, or intimation that would support the ALJ’s finding that Respondents employed discretionary business decisions when engaging in their differential treatment of Complainants.”

Contrary to Complainants position, Respondents argued, briefed, and provided evidence for the justification of differential treatment by legitimate transportation factors as compared to hotels, taxis, and other ground transportation carriers such as limousines and buses and the business decisions that relate to each. The vast difference in volume of cruise passengers accessing the Cruise Terminal via Complainants versus the other ground transportation providers is clearly apparent. The Complainants make up the largest volume of transporters of cruise passengers in and out of the Cruise Terminal. (Resp. Corr. Brief at 30). Limousines and coach buses accessing the Cruise Terminal are sporadic in nature. (Resp. Corr. Brief Pgs 29-30; Resp. App. Tab 77 p.2086). There is difficulty in securing a sufficient number of taxicabs to provide adequate transportation for cruise passengers. (IDR at 45 citing Port App. 068 at 1943-1945). Cruise passenger vehicles occupy a very small percentage of the parking spaces at hotels. ALJFF 82.

Further, the different operation inherent in these industries was thoroughly briefed by Respondents and addressed by the ALJ. (IDR at 44). By not operating parking lots, taxis and

limousines only access the Cruise Terminal occasionally, when requested by a cruise passenger. Resp. App. Tab 75 at pp. 2076 – 2077. In contrast, Complainants operate parking lots solely for cruise passengers and are constantly transporting these passengers to and from the Cruise Terminal as a convenience for their customers. Resp. App. Tab 80 at pp. 002314 – 2315; Resp. App. Tab 81 at 002418, lines 15 -23; Tab 83 at 002520, lines 11-15. The justification for the differential treatment of Complainants is abundantly clear from the record and fully supports Judge Guthridge’s uncontested findings.

Complainants then assert, generally, that the Port selectively enforced its Tariff, while they relied on the Tariff to “inform them on the access fees paid by other Cruise Terminal users and as a basis for business decisions and expectations.” Complainants offer no specifics whatsoever as to these alleged “violations,” alleged “disparate treatment,” and “business decisions and expectations” forming the basis of these claims, and offer no evidence to support them. Therefore, these claims fail. *Green Master Int’l Freight Services Ltd.*, No. 01-10, 2003 WL 1016920, at *12 (F.M.C. Feb. 28, 2003) (rejecting exception where party “did not provide any credible evidence to substantiate its claim . . . nor has it shown that the ALJ erred in weighing the evidence.”).

Essentially, Complainants appear to suggest that since the Port did not adhere to their unilateral interpretation of the Port’s Tariff, the Port violated the Shipping Act.

As Judge Guthridge explained in considerable detail, the Tariff was changed in 2006 because the Complainants refused to pay what others were being charged and wanted a better deal. ALJFF 30-49. None of these findings are challenged in Complainant’s Exceptions and Appeal, except for ALJ 47 discussed above. Complainants negotiated for a change in the Tariff for them to be charged the \$8.00 per space per month rate, in exchange for being granted

unlimited access to the Cruise Terminal for that fee. The rate reduction allowed the Complainants to save over \$70,000.00 collectively. ALJFF 47-49. During the first half of 2006, the three Complainants accessed the Cruise Terminal more times than all the hotels put together. *See* Resp. App. Tab 058 at p.1790.

Complainants do not dispute Judge Guthridge's recitation of facts as to the year and a half long negotiations between the Port and Complainants that resulted in Complainants the agreed \$8.00 per space per month flat rate. ALJFF 35-43. Complainants do not dispute Judge Guthridge's finding that the Tariff was amended in 2006 to reflect this agreement. ALJFF 44. And Complainants do not dispute that the Port never intended the 2006 flat rate change to apply to hotels. ALJFF81.

Judge Guthridge ruled that the Port has discretion to exercise business judgment when imposing access fees. IDR at p. 37. Judge Guthridge's finding is consistent with Commission precedent. The Commission has "recognized that it is proper to give deference to a port's discretionary business decisions." *Seacon Terminals, Inc. v. Port of Seattle*, 26 S.R.R. 886, 899 (FMC 1993) (citing *Petchem, Inc. v. Canaveral Port Authority*, 23 S.R.R. 974 (1986), *aff'd* 853 F.2d 958 (D.C. Cir. 1988)); *Cornell v. Princess Cruise Lines, Ltd.*, No. 13-02, 2014 WL 5316340, at *8 (FMC Aug. 28, 2014). In *Petchem*, the Commission recognized that it is proper to give deference to a port's discretionary business decisions. The Commission's decision in that case was "partially based on appropriate deference to the Port Authority, an entity familiar with business circumstances . . . and entitled to a presumption that it is concerned with public and not private interest." 23 S.R.R. at 993; *see also* *Seacon Terminals, Inc.*, 1993 WL 197325, at *19; *In the Matter of Agreement No. T-2598*, 17 F.M.C. 286, 297 (1974) ("[T]he duly authorized Port

Authority is the proper body to weigh and evaluate business risks related to that Port's efficiency in the first instance.”).

The Commission has also repeatedly held that not every preference or prejudice is unlawful under the Shipping Act but only those that are undue or unreasonable. *ITO Corp. of Baltimore and the Maryland Port Admin.*, No. 94-10, 1995 WL 610825, at *22 (FMC Oct. 26, 1995). The Commission is also not required to tally and compare exactly what benefits were received by the relevant parties. In *Petchem*, the D.C. Circuit noted that “[t]he Act clearly contemplates the existence of permissible preferences and prejudices.” 853 F.2d at 963. Only *undue or unreasonable* preferences and prejudices would be violative of the Prohibited Acts.

After all the negotiations with the Complainants who refused to pay a per trip charge, it was within the Port’s discretion to negotiate and charge the flat rate and apply it to Complainants and other parking lot operators.¹² There is no evidence presented by the Complainants that this “deal” as Complainants have referred to it was intended to apply to anyone but parking lot operators.

Complainants offer no evidence to prove that the Port acted unreasonably in its treatment of taxis. As to limousines, the Complainants assert that the failure to charge some of these users was due to an error and therefore not “discretionary.” They miss the point of Judge Guthridge’s discussion. The Port’s undisputed evidence established that collections from limousines were sporadic and difficult. Resp. App. Tab 77 at p. 002086, ¶ 24. Limousines represented a very small percentage of users. *Id.* Once the collection error was discovered, billings resumed but collections have remained difficult. Resp. Br. 21, fn. 5; Resp. App. Tab 77 at p. 002087, ¶ 26-27.

¹² IDR at p. 37.

The Port had the discretion to simply move forward once the error was discovered. This is not a violation.

Complainants argue that Judge Guthridge's Initial Decision on Remand does not address "all other violations of 41106(2)."¹³ As noted above, those alleged "violations" are conclusory and are nothing more than restatements of allegations raised in the Complaint which were discussed and dismissed by Judge Guthridge.

Finally, Complainants' arguments are irrelevant. As Judge Guthridge held, Respondents were justified in the difference in treatment based on differences in transportation factors. IDR at p. 38 - 46. As such, they fail to establish a violation under *Ceres I*.

1. Complainants do not Except to the Initial Decision on Remand Finding that Complainants Failed to Prove Undue or Unreasonable Prejudice

Since its decision almost twenty years ago in *Ceres I*, the Commission has repeatedly stated that all elements of the *Ceres* Standard must be met by a complainant to prove a violation of the Shipping Act. Judge Guthridge correctly cited Commission precedent in stating:

In order to establish an allegation of an unreasonable preference or prejudice, it must be shown that . . . (4) the resulting prejudice or disadvantage is the proximate cause of the injury. The complainant has the burden of proving that it was subjected to different treatment and was injured as a result and the respondent has the burden of justifying the difference in treatment based on legitimate transportation factors.

IDR at pgs. 16 – 17.

Complainants did not except to Judge Guthridge's further statements of the law regarding proof of injury:

Complainants have the burden of proving entitlement to reparations. 5 U.S.C. § 556(d). As the Federal Maritime Board explained long ago: "(a) damages must be the proximate result of violations of the statute in question; (b) there is no

¹³ Complainants' Exceptions at p. 26.

presumption of damage; and (c) the violation in and of itself without proof of pecuniary loss resulting from the unlawful act does not afford a basis for reparation.” *James J. Flanagan Shipping Corp. v. Lake Charles Harbor and Terminal Dist.*, 30 S.R.R. 8, 13 (FMC 2003).

The statements of the Commission in [*California Shipping Line, Inc. v. Yangming Marine Transport Corp.*, 25 S.R.R. 1213 (Oct. 19, 1990)] and the other cited cases are in the mainstream of the law of damages as followed by the courts, for example, regarding the principles that the fact of injury must be shown with reasonable certainty, that the amount can be based on something less than precision but something based on a reasonable approximation supported by evidence and by reasonable inferences, the principle that the damages must be foreseeable or proximate or, in contract law, within the contemplation of the parties at the time they entered into the contract, the fact that speculative damages are not allowed, and that regarding claims for lost profits, there must be reasonable certainty so that the court can be satisfied that the wrongful act caused the loss of profits.

IDR at p. 48.

Complainants failed to except to Judge Guthridge’s findings that Complainants failed to meet this long standing burden. Judge Guthridge was correct in finding that:

The burden is on Complainants to prove their damages with reasonable certainty. *Tractors and Farm Equip. Ltd. v. Cosmos Shipping Co., Inc.*, 26 S.R.R. at 798-799. Assuming that the Port violated section 41106(2) when it calculated Complainants’ access fees using the \$8.00 flat rate, Complainants’ argument does not prove by a preponderance of the evidence that Complainants suffered actual injury from use of the flat rate.

IDR at p. 59. The evidence actually proved the opposite. Complainants enjoyed a substantial benefit from the flat rate. ID at p.48–49; *see also Green Master Int’l Freight Services Ltd.*, No. 01-10, 2003 WL 1016920, at *12 (F.M.C. Feb. 28, 2003) (rejecting exception where party "did not provide any credible evidence to substantiate its claim . . . nor has it shown that the ALJ erred in weighing the evidence.").

Finally, Complainants suggest that the Coble Act has altered the *Ceres* Standard by removing the element of actual injury. As discussed below, there is absolutely no support of any kind for this interpretation of the Coble Act amendments to the Shipping Act.

E. THE INITIAL DECISION ON REMAND CORRECTLY APPLIED THE COBLE ACT TO THIS MATTER

As the Commission is aware, due to the recent enactment of the Howard Coble Coast Guard and Maritime Transportation Act of 2014 (hereafter the “Coble Act”) on December 18, 2014, there are few decisions interpreting and applying the new language in section 41305(e) that give the ALJ discretion to award attorney’s fees to the “prevailing party.” See 46 USC § 41305(e). Other than Judge Guthridge’s Initial Decision and Initial Decision on Remand in this case, there are only two other published decisions to date. Both concluded that (1) the Coble Act applies as of the date of its enactment, and (2) the “prevailing party” is the one who obtains an enforceable judgment. See *Baltic Auto Shipping, Inc. v. Michael Hitrinov A/K/A Michael Khitrinov and Empire United Lines Co., Inc.*, No. 14-15, 2015 WL 5573353 (FMC Sept. 15, 2015); *Edaf Antillas, Inc. v. Crowley Caribbean Logistics et al*, No. 14-04, 2015 WL 6274657 (FMC April 15, 2015). Complainants have not provided the Commission with any valid reasons for departing from this existing authority, and their exceptions should be rejected.

1. The Initial Decision on Remand Properly Concluded that the Coble Act Applies to this Case As of December 18, 2014.

Established Supreme Court precedent provides that when a statute does not state its effective date, it should be considered effective the day it is signed into law: “It is well established that, absent a clear direction by Congress to the contrary, a law takes effect on the date of its enactment.” *Gozlon-Peretz v. United States*, 498 U.S. 395, 404 (1991) (emphasis added).¹⁴ “[A] court is to apply the law in effect at the time it renders its decision.” *Bradley v.*

¹⁴ See also the U.S. House of Representatives Offices of the Law Revision Counsel:

How can I tell when a law becomes effective?

Unless otherwise provided by law, an act is effective on its date of enactment. When a Code section or an amendment to a Code section is effective on a date other than its date of enactment, the Code will almost always include an effective date note under the section.

available at <http://uscode.house.gov/faq.xhtml> (last visited Jan. 21, 2015).

School Bd. of Richmond, 416 U.S. 696, 711 (1974) (emphasis added). Judge Guthridge accordingly held that the Coble Act applies to this case as of its signing date, December 18, 2014.

Complainants argue, however, that applying the Coble Act to this case produces “retroactive” results because it removes an “affirmative right of recovery and an assurance against liability for a respondent’s attorney’s fees.”¹⁵ Presumably, “by affirmative right to recovery,” Complainants are referring to the previous version of section 41305(b), which granted attorney’s fees if to complainants who demonstrated a right to reparations. Complainants have not been denied an affirmative right, nor have they lost “an assurance” regarding attorney’s fees.

In *Landgraf*, the Supreme Court held that, “When the intervening statute authorizes or affects the propriety of prospective relief, application of the new provision is not retroactive.” *Landgraf v. USI Film Products*, 511 U.S. 244, 273 (1994) (emphasis added). *Landgraf* then gave the example of *American Steel Foundries*, where it concluded that applying a law governing the propriety of injunctive relief, enacted while the case was pending on appeal, did not affect the plaintiff’s future rights. *Id.* at 273–74 (citing *Am. Steel Foundries v. Tri-City Central Trades Council*, 257 U.S. 184 (1921)). This was because the plaintiff had no “vested right” in the trial court’s decree. *Id.*

At the time the Coble Act was passed in December 2014, any right Complainants had to attorney’s fees was “prospective.” They had not yet filed their initial brief with supporting appendix with the Commission, and therefore had no “vested right” or expectation in an attorney’s fees award. See *Landgraf*, 511 U.S. at 273; *Bradley v.*, 416 U.S. at 720 (Court refuses to apply intervening change to pending action where doing so would “infringe upon or deprive a

¹⁵ Complainants’ Exceptions, pp.48–50, citing *Monoson v. United States*, 516 F.3d 163, 169 (3d Cir. 2008) (“If a new law restricts or impairs the plaintiff’s rights of action or the potential recovery available to him under the law in effect when suit was commenced, that new law has a retroactive effect.”).

person of a right that *had matured or become unconditional.*”) (emphasis added). It is undisputed that Complainants’ did not have a “matured” or “unconditional” right to attorney’s fees when the Coble Act was passed.

Complainants’ assertion that the Coble Act is retrospective because it removes their “assurance against attorney’s fees” is equally unavailing. Two days after filing their Complaint with the Commission, Complainants filed suit in federal district court under 46 U.S.C. § 41306, based on the same operative facts discussed in their FMC Complaint. In addition to requesting injunctive relief under section 41306(a), they also pleaded Shipping Act violations, Commerce Clause violations, regulatory takings, violation of Constitutional right to travel, and unlawful user fee.¹⁶ Subpart (d) of section 41306 allows a defendant who prevails in an action under section 41306 to recover attorney’s fees. 46 U.S.C. § 41306(d). Thus, Complainants knew, long before the Coble Act was passed, that they could be liable for Respondents’ attorney’s fees if their claims were rejected.

In addition, Complainants had every opportunity to “adjust the course” of this litigation, if indeed the risk of attorney’s fees would have actually been the deterrent Complainants claim it would. As the ALJ observed in *Edaf Antillas, Inc.*,

In this proceeding, since the enactment of the Coble Act, the parties have been on notice (constructive, if not actual) that the Commission’s power to issue an attorney fee award has been changed. From that point forward, the prevailing party - complainant or respondent - may be awarded reasonable attorney fees. **The parties could adjust their litigation decisions at that point to account for this change. It does not upset the reasonable expectations of the parties to award attorney fees to a prevailing respondent.** Therefore, I conclude that the Commission has the power to award attorney fees to respondents for attorney services performed after enactment of section 402 of the Coble Act.

¹⁶ See Verified Complaint, Section V, filed in Case No. 3:14-cv-00206, *Santa Fe Discount Cruise Parking, Inc. d/b/a EZ Cruise Parking, et al v. The Board of Trustees of the Galveston Wharves, et al*; In the United States District Court for the Southern District of Texas- Galveston Division

Edaf Antillas, Inc., 2015 WL 6274657, at *21 (emphasis added). Complainants chose not to “adjust their litigation decisions.”

“A statute does not operate ‘retrospectively’ merely because it is applied in a case arising from conduct antedating the statute’s enactment, or upsets expectations based in prior law. *Landgraf*, 511 U.S. at 269 (citations omitted). “Rather, the court must ask whether the new provision ***attaches new legal consequences*** to events completed before its enactment.” *Id.* at 270 (emphasis added). Applying the Coble Act to this case does not produce any “new legal consequences” for Complainants, because they were already prepared to risk liability for Respondents’ attorney’s fees when they filed their federal lawsuit.

Complainants have not offered any valid reasons for departing from *Baltic Auto Shipping* and *Edaf Antillas, Inc.*, and their exceptions on this issue should accordingly be rejected.

2. The Initial Decision on Remand Properly Concluded that Respondents are the “Prevailing Party.”

For the first time in this proceeding, Complainants argue they should be deemed the “prevailing party” if they simply establish that the Port violated the Shipping Act by not charging hotels the same \$8.00 per space per month flat rate charged to Complainants. Presumably Complainants are referring to Judge Guthridge’s conditional statement in the IDR that, *assuming* Complainants had shown they were similarly situated or in a competitive relationship with hotels, taxicabs, limousines and buses—which the IDR found they were ***not***—Complainants were accorded different treatment from these other entities.¹⁷

Complainants also suggest that the definition of the term “Off-Port Parking User” in the Tariff in question was the equivalent of a contract, and therefore any deviation from that definition by the Port violated the Shipping Act—even if they suffered no injury and are not

¹⁷ See I.D.R., § VIII(B) (emphasis added).

entitled to any type of prospective relief such as a “cease and desist” order. As noted above, there was no intent to include hotels in the definition of “Off-Port Parking Users,” as discussed above. Regardless, Complainants essentially argue that by deleting the “attorney’s fees” language from 46 U.S.C. § 41305(b), the Coble Act eliminated the need for the fourth *Ceres* element and they can be considered the “prevailing party.”

What Complainants fail to grasp is that in no manner can they be considered the “prevailing party.” Not only does *Ceres I* require proof of injury and proximate cause of the injury to prevail on a 46 U.S.C. § 41106(2) claim¹⁸, but according to United States Supreme Court precedent, the “prevailing party” is the one who obtains an enforceable judgment that alters the relationship between the parties.

The phrase “prevailing party” occurs in both Federal Rule of Civil Procedure 54, as well as some federal statutes that, like the Coble Act, award attorney’s fees to the prevailing party. Courts interpreting what it means to be a “prevailing party” entitled to an award of costs or attorney’s fees have agreed: the “prevailing party” is the one who obtains an enforceable judgment that provides relief. *See Farrar v. Hobby*, 506 U.S. 103, 111–12 (1992) (plaintiff must obtain “enforceable judgment” against defendant to be considered “prevailing” party and get attorney’s fees under civil rights statute); *Hewitt v. Helms*, 482 U.S. 755, 762 (1987) (plaintiff had to “receive at least some relief on the merits of his claim before he can be said to prevail” and be entitled to attorney’s fees under 42 U.S.C. § 1988); *Smart v. Local 702 Intern. Broth. Of Elec. Workers*, 573 F.3d 523, 525 (7th Cir. 2009) (party “prevails” under Rule 54 when a final judgment awards it substantial relief); *D’Hedouville v. Pioneer Hotel Co.*, 552 F.2d 886, 896 (9th Cir. 1977) (“party in whose favor judgment is rendered is generally the prevailing party” under

¹⁸ *Ceres*, 27 S.R.R. at 1270–71.

Rule 54).

Moreover, the Supreme Court has already rejected Complainants' argument that a single, favorable "judicial statement" can confer "prevailing party" status. *Hewitt v. Helms*, 482 U.S. at 762. The plaintiff-prisoner in *Hewitt* argued he was the "prevailing party" and therefore entitled to attorney's fees under 42 U.S.C. § 1988 because although his claims against prison officials were dismissed on grounds of immunity, he managed to obtain an interlocutory ruling that his complaint should not have originally been dismissed for failure to state a constitutional claim. *Id.* at 760. Rejecting this argument, the Court held that "the moral satisfaction [that] results from any favorable statement of law" did not bestow "prevailing party" status. *Id.* at 762. "[A] judicial statement that does not affect the relationship between the plaintiff and the defendant is not an equivalent" for establishing prevailing party status. *Id.* at 761.

The IDR's "judicial statement" acknowledging that *if* Complainants had shown they were similarly situated to hotels, taxicabs, etc., then they were treated differently, was not an enforceable judgment. It did not affect the relationship between Complainants and Respondents and cannot confer "prevailing party" status. *See id.*; *see also Tunison v. Continental Airlines, Inc.*, 162 F.2d 1187, 1190 (D.C. Cir. 1998) (plaintiff who obtains an empty judgment is not a "prevailing party"). In contrast, the IDR's dismissal of Complainants' claims is enforceable and *does* affect the parties' relationship. The IDR thus properly held that Respondents were the "prevailing parties."

3. Complainants' Arguments Based on Unequal Application of Law and Law of the Case Are Meritless and Should Be Overruled.

Complainants argue that the ALJ's dismissal of two of their causes of action alleging Shipping Act violations in November 2014 implies that the pre-Coble Act version of the

Shipping Act is the “law of the case.”¹⁹ This is a gross misapplication of the doctrine. First, no such ruling can be implied, because the ALJ issued this decision *prior* to enactment of the Coble Act. Judge Guthridge could not have “decided” to apply the pre-Coble Act version of the Shipping Act: it did not yet exist.

Second, Judge Guthridge did not decide any “rule of law” in that dismissal. Finally, as indicated by Supreme Court case law, the doctrine does not preclude a Court from applying a newly enacted statute. *See Am. Steel Foundries v. Tri-City Central Trades Council*, 257 U.S. 184 (1921) (affirming application of law enacted while case was pending on appeal). Complainants’ “law of the case” argument should be overruled.

Complainants’ “unequal application of law” argument should also be summarily rejected. Not only do Complainants fail to provide any legal authority for their argument that applying the Coble Act results in an “unequal application of the law,” but they make exaggerated assertions that have no factual basis.

For example, Complainants assert that prior to the Coble Act, they were “guaranteed” recovery of attorney’s fees.²⁰ Obviously, Complainants were not “guaranteed” anything when they filed this case, and regardless, they have no evidence of reparations. Then on page 26, Complainants claim that applying the Coble Act will produce a “double standard.” This argument presumably refers to the standard for recovering attorney’s fees prior to December 18, 2014, versus the standard after, but no such “double standard” exists. Complainants were entitled to recover attorney’s fees both before and after the Coble Act’s passage. Respondents were not. Indeed, prior to the Coble Act, Respondents had no remedy for legal fees incurred while defending against frivolous and unfounded claims.

¹⁹ See Complainants’ Exceptions, p. 26.

²⁰ See Complainants’ Exceptions, pp. 44, 49.

In fact, the American Association of Port Authorities (“AAPA”) initiated the Coble Act revisions to address such conduct:

AAPA initiated this change in the attorneys fees provision of the Shipping Act because its members believe that the prior one-sided provision was artificially encouraging actions against ports by large well financed private parties attempting to improve their bargaining position in commercial negotiations with public port authorities by filing Shipping Act claims against them.²¹

This lawsuit provides a perfect example of such conduct. Complainants filed this lawsuit knowing full well they had no evidence of actual injury. Respondents are governmental, non-tax supported entities who would not have even imposed the Tariff fees at issue, had they possessed other means to support the cruise terminal operation. As a result of Complainants’ meritless and frivolous allegations, Respondents have been forced to expend hundreds of thousands of dollars in legal fees.

Respondents would show that one of the main reasons this proceeding was filed and prosecuted was to force the Port to back down and unilaterally change its Tariff to avoid these legal fees. As Complainants took advantage of their procedural right to shoot with a proverbial shotgun, Respondents were required to address each piece of buckshot coming their way. Complainants’ silence in the face of Judge Guthridge’s Dismissal of Respondent Galveston Port Facilities Corporation²² is further evidence of their tacit admission that their claims against it were groundless.

Thus, contrary to Complainants’ argument, applying the Coble Act to this case actually *remedies* a previous “double standard” as to *Respondents* who had to defend against groundless claims. The Commission should accordingly overrule Complainants’ exceptions. In addition, the Commission should rule that Complainants have failed to timely appeal the dismissal of

²¹ August 6, 2015, Comments from the AAPA filed in Docket No. 15-06, p.2.

²² See IDR, p.35.

Respondent Galveston Port Facilities Corporation, and issue a finding that the claims against the Galveston Port Facilities Corporation were unfounded.

I. CONCLUSION

For the foregoing reasons, Complainants' Exceptions should be denied and Judge Guthridge's decision should be approved in its entirety.

Dated: January 30, 2019

Respectfully submitted,

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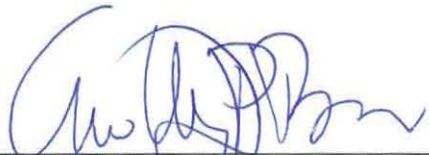
CERTIFICATE OF SERVICE

I hereby certify that I electronically filed this document on this **30th day of January, 2019**, and that a true and correct copy of the foregoing was served on all counsel of record *via* certified mail – return receipt requested and email, as indicated below:

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